



Finance Case Research Club
Team Cyprus



EQT's potential acquisition of Douzone Bizon

Sep 25, 2025

Fall 2025
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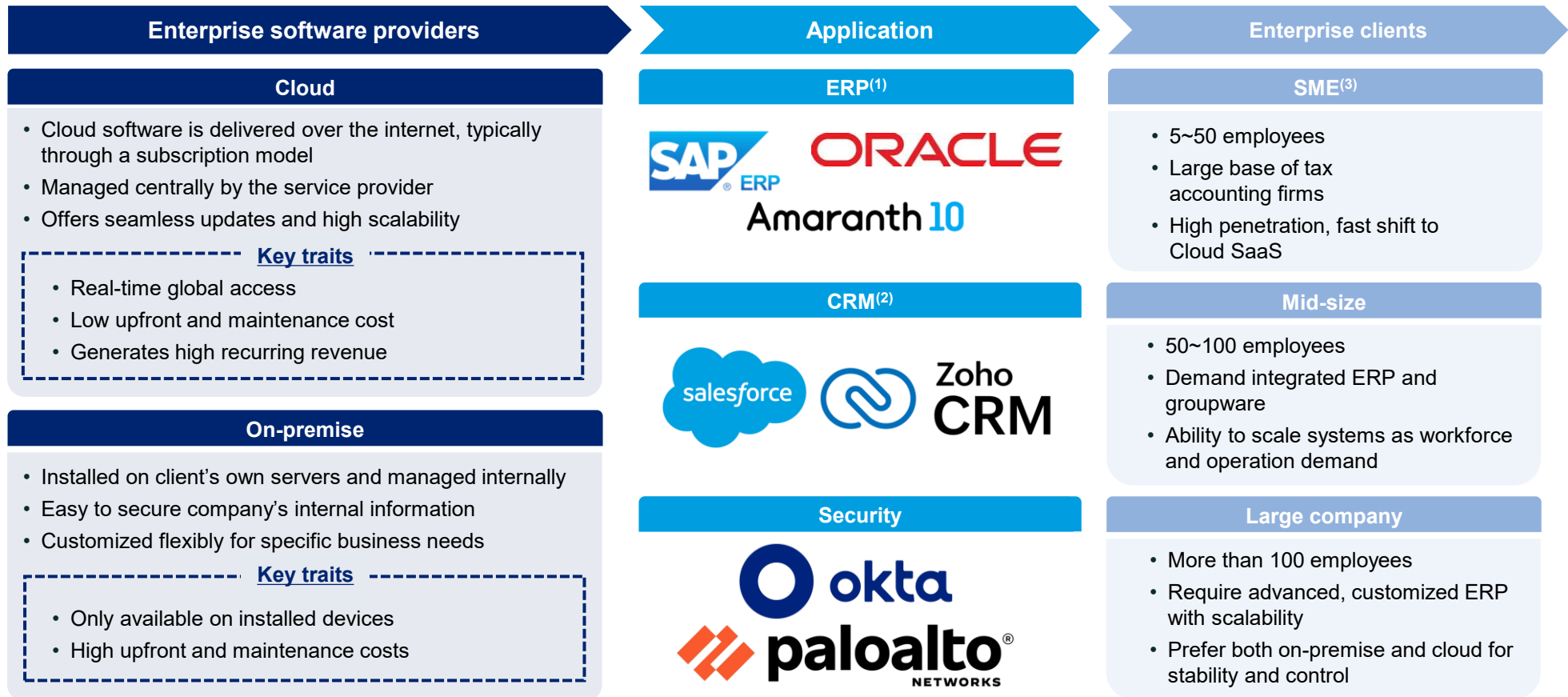
I. Industry Overview

1. Enterprise Software Market Value Chain
2. Domestic Enterprise Software Market Outlook

Enterprise Software Market Value Chain

The enterprise software value chain connects delivery models, applications, and client segments to meet diverse business needs and scalability demands

Value chain of the enterprise software industry



Source: Market Intelligence

Notes: (1) Stands for Enterprise Resource Planning; (2) Stands for Customer Relationship Management; (3) Stands for Small and Medium Enterprises

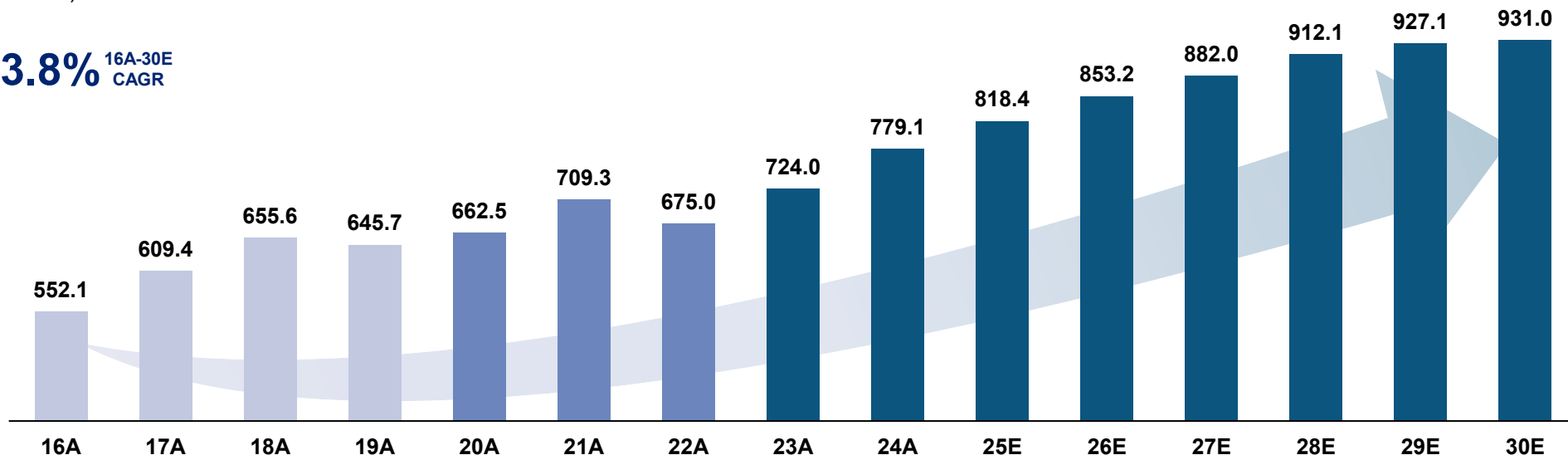
Domestic Enterprise Software Market Outlook

Domestic enterprise software market is on a structural growth trajectory, driven by SaaS adoption, AI-enabled transformation, and supportive government policies

Domestic enterprise software market size

(USDmn)

3.8% ^{16A-30E}
CAGR



Digital transformation

As industries evolved and IT technologies advanced, companies began digitalizing their systems

COVID 19 Era

The uncertainty and downfall of Cash Flow resulted as a lacking investment in company's IT

Post-pandemic Era(Acceleration of AI transformation)

After the experiencing the online working, companies understood the need for software to make the work efficient

Key drivers of the Korean enterprise software market

- 1 Acceleration of digital transformation**
Most companies are switching from on-premise to SaaS which generates revenue consistently
- 2 Government policy to support SME's ERP adoption**
The Korean government recently announced to gather AI innovation fund of KRW 90bn

II. Company Overview

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Company Snapshot

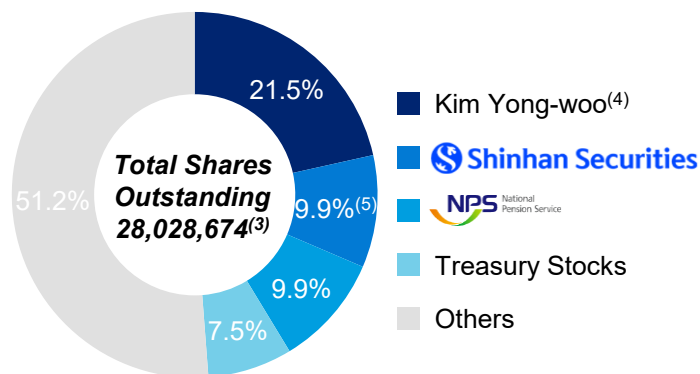
Douzone Bizon is Korea's leading ERP and SaaS provider with 20% market share, strong financial growth, and strategic positioning as a key acquisition target

Company profile

- Established in 1977 and headquartered in Chuncheon, Gangwon, Douzone Bizon ("the Company") is a leading ICT⁽¹⁾ firm in Korea, **offering both traditional ERP solutions and fully integrated SaaS⁽²⁾ platforms**
- The Company holds **20% share of the domestic ERP market**, ranking as the second-largest player in Korea
- The Company primarily provides **ERP and platform services**, while also operating in adjacent sectors including cloud services, security solutions, and rental income
- The Company is currently **undergoing a potential acquisition** by EQT Partners, with negotiations underway
- The Company provided its flagship product, "Lite ERP" to approximately **110,000 firms**, and its "Standard/Extended ERP" solutions to around **20,000 firms**

Shareholding structure

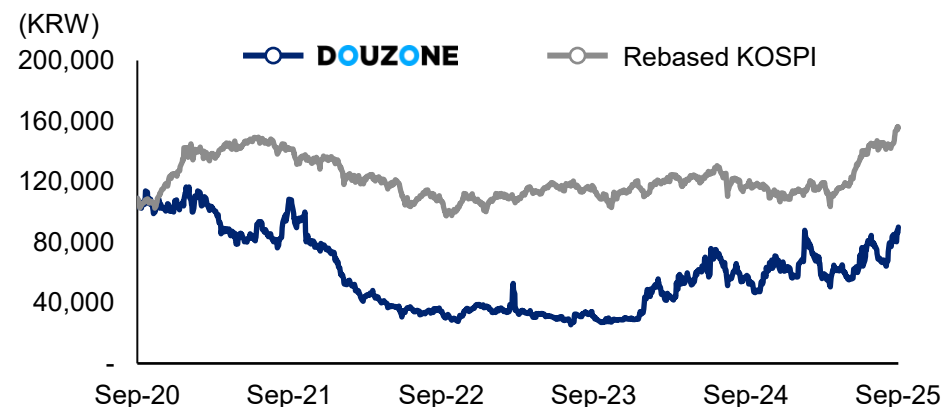
(%)



Key financials

(KRWbn)	FY21	FY22	FY23	FY24	LTM1H25
Revenue	319	304	354	402	413
YoY growth (%)	4.0%	(4.5%)	16.2%	13.8%	2.6%
Gross Profit	142	120	153	184	193
Margin (%)	44.7%	39.4%	43.2%	45.7%	46.7%
EBITDA	100	77	106	125	133
Margin (%)	31.4%	25.3%	29.9%	31.2%	32.3%
EBIT	71	46	69	88	96
Margin (%)	22.3%	15.0%	19.5%	21.9%	23.3%
Net Income	54	23	34	78	60
Margin (%)	17.1%	7.6%	9.7%	19.4%	14.6%
Total Assets	900	833	883	1038	1045
Total Liabilities	399	394	438	483	480
Net Debt	273	272	279	301	299

5Y stock price performance⁽⁶⁾



Source: Dart, KRX, Market intelligence; Note: (1) Stands for Information and Communication Technology; (2) Stands for Software as a Service; (3) As of Sep 21, 2025; (4) Chairman of Douzone Bizon; (5) Shares are owned by SPC of Shinhan securities; (6) KOSPI rebased to Douzone Bizon's stock price as of Sep 18, 2020

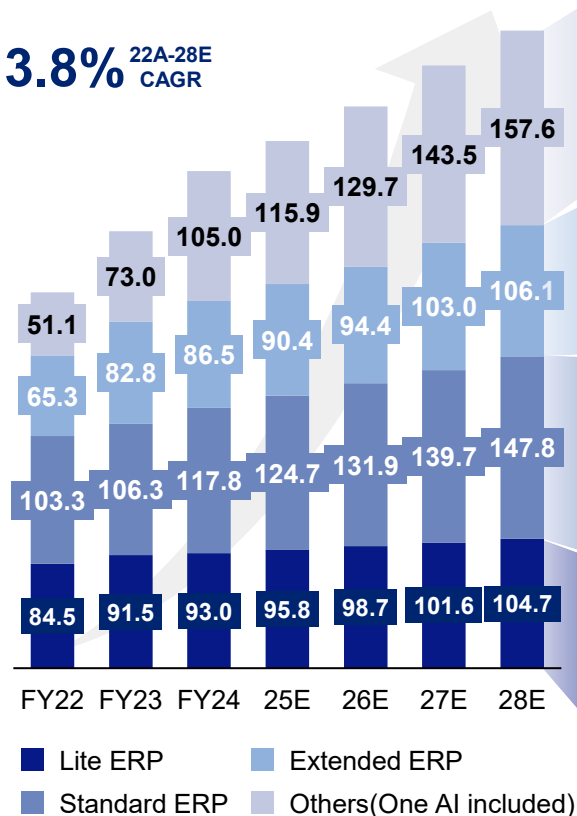
Business Overview

Douzone Bizon's future growth will be led by SaaS, with One AI as a key catalyst, while Lite and Standard ERP continue to anchor SME to mid-sized clients

Revenue breakdown by products

(KRWbn)

3.8% ^{22A-28E}
CAGR



Products of Douzone Bizon

④ Others (26.1%)

- Includes revenue portion of One AI (launched in June, 2024)
- One AI is currently not included in revenue due to the promotion, but is expected to generate revenue after customers start to pay for it

One AI



Rental income



③ Extended ERP (21.5%)

- Targeted at large companies**, On-premise product is ERPiU and ERP, business platform is OmniEsol
- Extended ERP takes portion of 21.5% and OmniEsol is extending its portion in Extended ERP by about 75.4%

On-premise

ERPiU

SaaS

OmniEsol

② Standard ERP (29.3%)

- Targeted at mid-sized companies**, On-premise product is iCUBE, SaaS product is Amaranth 10
- Standard ERP takes portion of 29.3% and Amaranth 10 is extending its portion in Standard ERP by about 68% at the end of 2025

iCUBE

Amaranth 10

① Lite ERP (23.1%)(1)

- Targeted at SME(2)s**, On-premise product is Smart A 10, SaaS product is WEHAGO
- Lite ERP takes portion of 23.1% and WEHAGO is extending its portion in Lite ERP by about 74.5% at end of 2025

Smart A 10

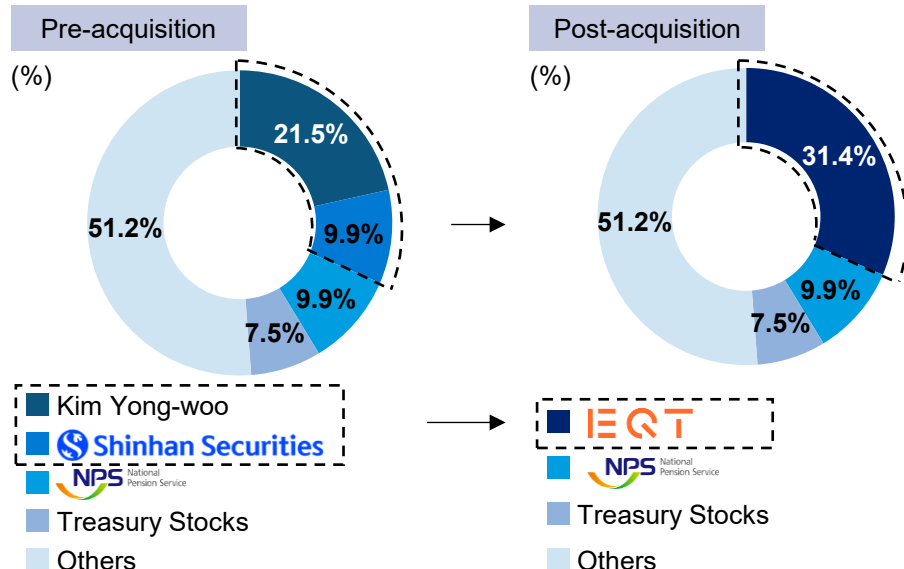
WEHAGO

The growth of One AI is expected to boost the Company's overall revenue, with SaaS' contribution is expected to increase significantly compared to on-premise solutions

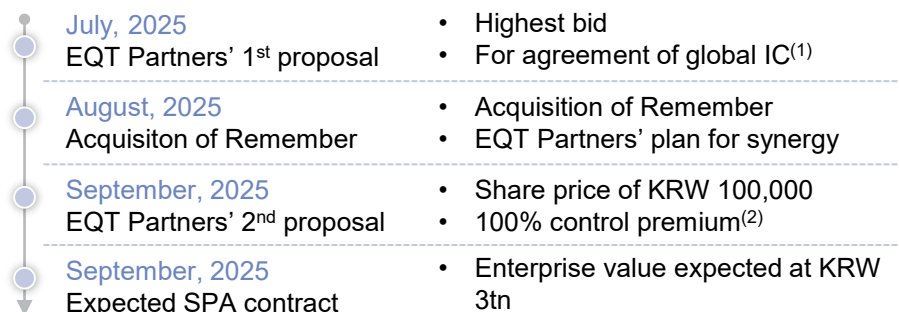
Transaction Overview

EQT Partners plans to acquire a 31.4% stake in Douzone Bizon, leveraging synergies with 'Remember' to secure management control and reinforce leadership in Korea's B2B solutions market

Transaction structure



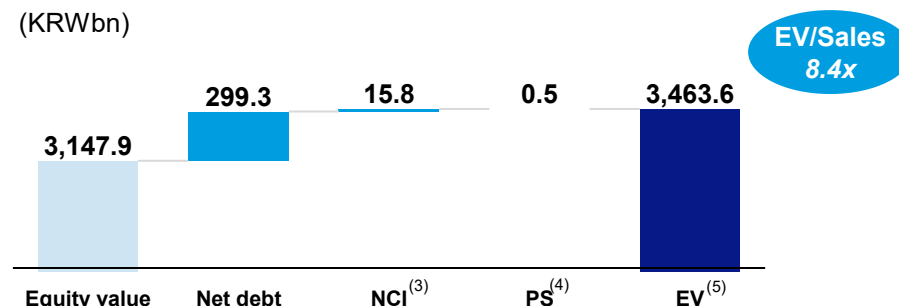
Deal timeline



Acquisition rationale

- Kim Yong-woo, CEO of Douzone Bizon, together with Shinhan Value Up First Co. Ltd (the "Sellers"), hold a **31.4% stake** in Douzone Bizon and are currently in the process of divesting their shareholding
- In response, EQT Partners (the "Buyer") has expressed its intention to **acquire the stake and secure management control of Douzone Bizon**
- Earlier this year, following amendments to the Korean Commercial Act, Mr. Kim indicated his willingness to sell; however, negotiations stalled due to a **valuation gap** between the Sellers and potential buyers
- The Buyer is believed to have presented valuation with **expectations of synergy with 'Remember'**, its existing portfolio company
- Through 'Remember', the Buyer aims to strengthen HR service offerings, while leveraging Douzone Bizon's accounting solutions to create synergies and **reinforce its market leadership** in the domestic B2B solutions sector
- There also remains the possibility that the Buyer **may launch a tender offer** to consolidate management control

Entry valuation



Source: Dart, Press release

Notes: (1) Investment Committee (2) Compared to May 2025, right before the news of Douzone Bizon's stake divestiture (3) Stands for Non Controlling Interest (4) Stands for Preferred Stock (5) Stands for Enterprise Value

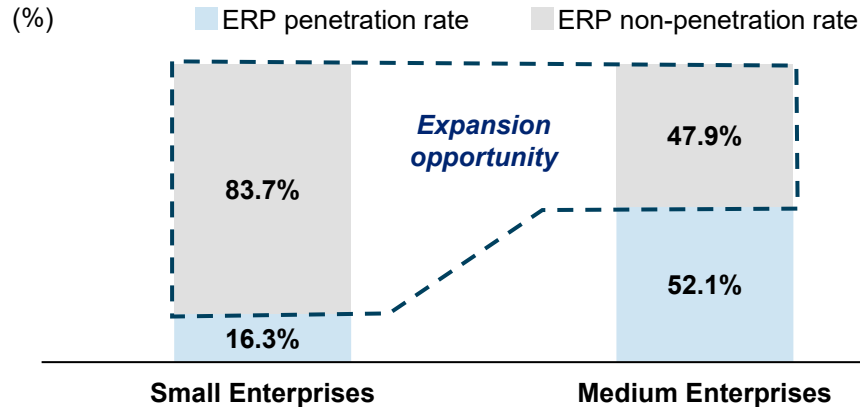
III. Investment Highlights

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2. Market leader expanding through AI and fintech
3. SaaS transition aligned with SME needs

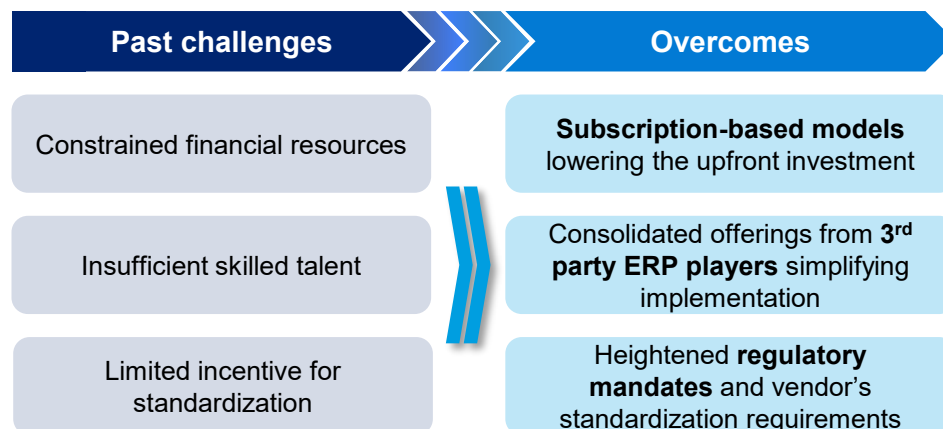
Growth fueled by demand and policy support

The Korean SME ERP market presents significant growth potential, supported by government-led AI and SaaS initiatives and the shift to subscription-based models that lower barriers for SMEs

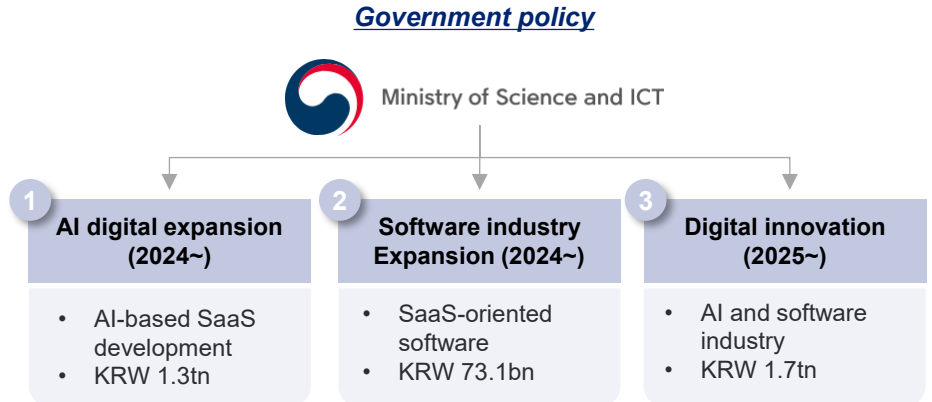
Expansion opportunities in Korean SME ERP market⁽¹⁾



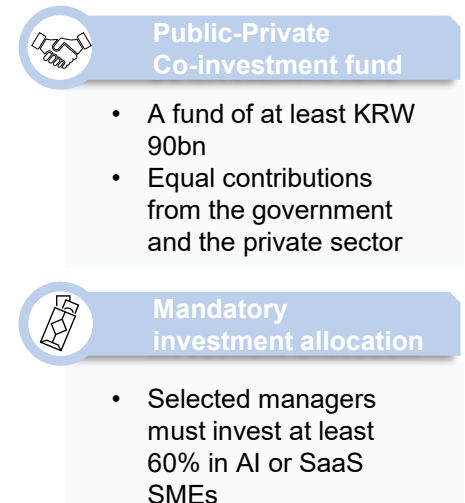
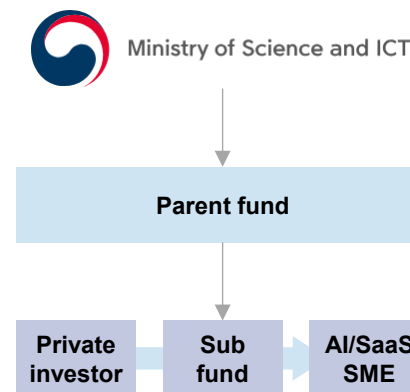
Increase in SME ERP demand



Government-led initiatives



"AI innovation fund"



Source: Press release

Notes: (1) As of 2023A

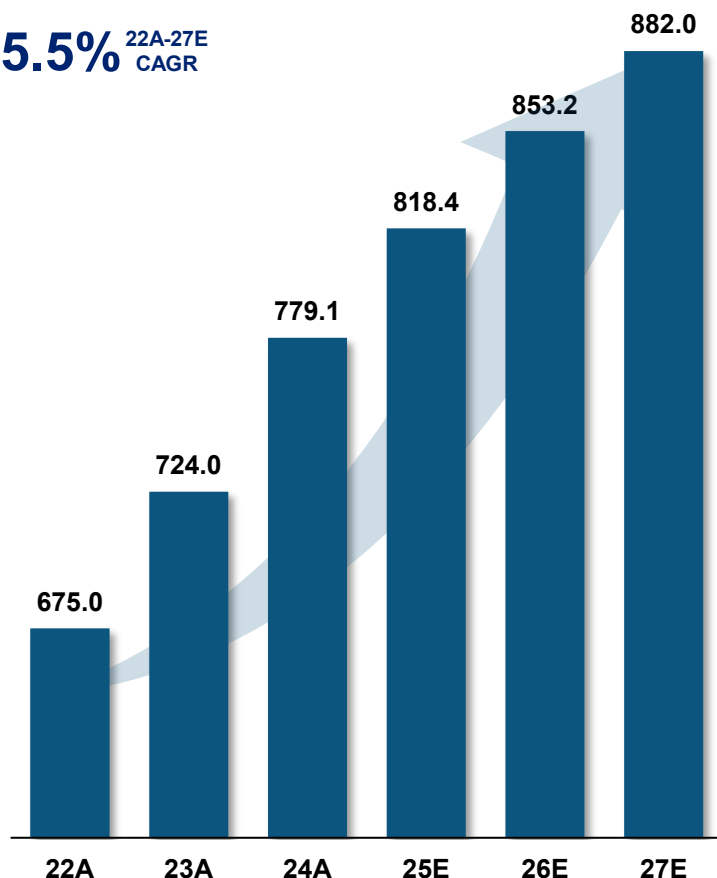
Market leader expanding through AI and fintech

Douzone Bizon stands out as the only fully integrated ERP provider in Korea, well-positioned to capture market growth with future upside from AI-driven solutions and fintech expansion

Growth of Korean ERP market

(USDmn)

5.5% ^{22A-27E}
CAGR



Only integrated model among domestic competitors

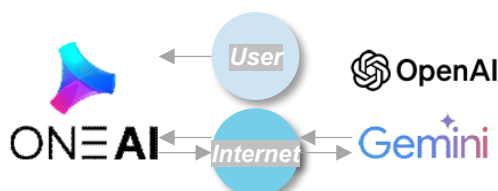
Company	Finance	Data	HR	E-Sign
DOUZONE	✓	✓	✓	✓
YoungLimWon Soft Lab Co., Ltd.	✓	✓	✓	
emro		✓		✓
Webcash	✓	✓		
FORCS		✓		✓

M/S
3x

Future growth potential

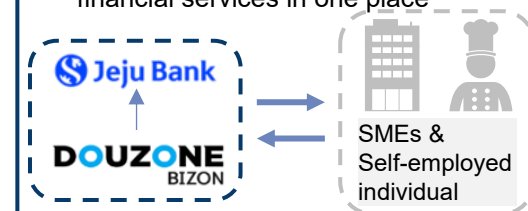
1 One AI

- Aims to apply generative AI across all solutions for productivity
- One AI is expected to account for a significant portion of revenue growth



2 Fintech business

- The company is second-largest shareholder of Jeju bank
- Possible for business operations and financial services in one place

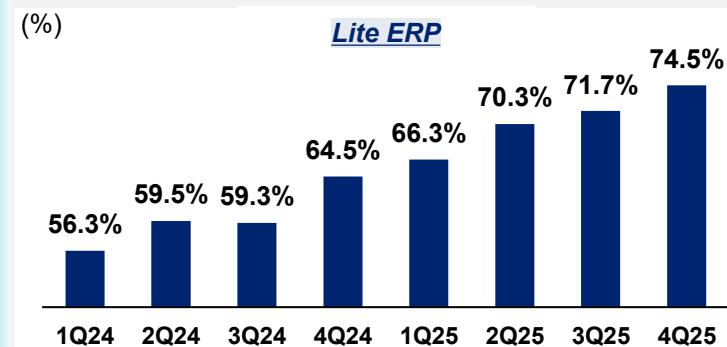
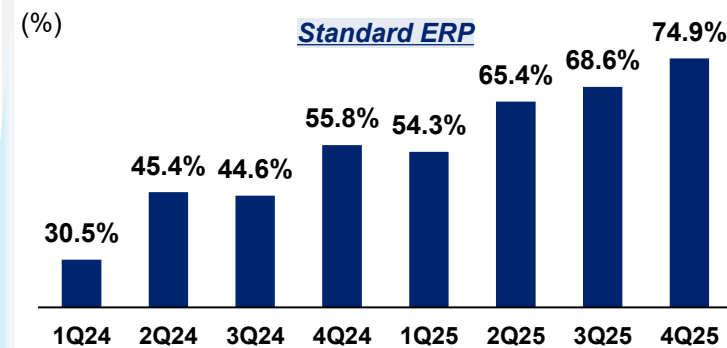


SaaS transition aligned with SME needs

Douzone Bizon is positioned to benefit from SME-driven SaaS adoption, supported by rising demand for predictable and scalable solutions

Transition from On-premise to SaaS

Type	Application companies	On-premise	SaaS
		- One-time purchase - customize	- Normally subscription based - Quick update
Large companies	 	Preferred  Security - Prefer to retain ownership in-house  Capacity - Capacity to make upfront investments	Unpreferred  Ongoing cost - Incurred by subscription based model  Customization - Limited customization available
		Unpreferred  Upfront cost - Increase financial burden  Flexibility - SMEs grow or shrink quickly	Preferred  Predictability - Cost is more predictable  Simplicity - Easily deployed and maintained
SME	 		



Douzone Bizon aligns its delivery model with target customer segments, strengthening its market presence



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